

11-3e Resource Similarity

Resource similarity (The extent to which a given competitor possesses strategic endowment comparable, in terms of both type and amount, to those of the focal firm.)

is defined as “the extent to which a given competitor possesses strategic endowment comparable, in terms of both type and amount, to those of the focal firm.” Firms with a high degree of resource similarity are likely to have similar competitive actions. For instance, in the 1990s Apple and IBM used to have a lot of resource similarity in personal computers, so they fought a lot. Why did they not fight recently? One reason is that their level of resource similarity decreased. Recently, IBM has to fight Amazon in cloud computing. Why? In the emerging market of cloud computing, both IBM and Amazon have a great deal of resource similarity.

If we put together resource similarity and market commonality (discussed earlier), we can yield a framework of competitor analysis for any pair of rivals (Figure 11.3). In Cell 4, because two firms have a high degree of resource similarity but a low degree of market commonality (little mutual forbearance), the intensity of rivalry is likely to be the highest. Conversely, in Cell 1, since both firms have little resource similarity but a high degree of market commonality, the intensity of their rivalry may be the lowest. Cells 2 and 3 present an intermediate level of competition. For instance, prior to Fox’s entry into the US TV broadcasting industries in the mid 1990s, the three incumbents—ABC, CBS, and NBC—enjoyed relatively tranquil and gentlemanly competition in Cell 2. However, Fox’s entry pulled competition down to Cell 4, whose rivalry is the most intense. The primary reason is that Fox is a wholly owned subsidiary of News Corporation, which is not only active in the US, but also in Australia (its original country), Britain, Asia Pacific, and India. In other words, Fox/News Corporation had very little market commonality with the three incumbents, which were US-centric. Not afraid of retaliation elsewhere, Fox unleashed a series of relentless attacks on the incumbents and rocketed ahead to become the leader in the US TV broadcasting industry.

Figure 11.3

A Framework for Competitor Analysis Between a Pair of Rivals

Sources: Adapted from (1) M. Chen, 1996, Competitor analysis and interfirm rivalry: Toward a theoretical integration, *Academy of Management Review*, 21: 108; (2) J. Gimeno & C. Woo, 1996, Hypercompetition in a multimarket environment: The role of strategic similarity and multimarket contact in competitive de-escalation, *Organization Science*, 7: 338.

In another example, the high-flying Starbucks and the down-to-earth McDonald's used to have little resource similarity. Both had high market commonality—in the United States, both blanketed the country with chain stores. In other words, they were in Cell 1 with the lowest intensity of rivalry. However, recently, McDonald's aspired to go “up market” and offered products such as iced coffee designed to eat some of Starbucks' lunch (or drink some of Starbucks' coffee). Starbucks, due to profit pressures, had to go “down market” by offering cheaper drinks and instant coffee. We can say that their resource similarity increased. Given that they still maintained high market commonality, their rivalry migrated to Cell 2, whose intensity of rivalry was higher than that in Cell 1. Overall, conscientious mapping along the dimensions outlined in [Figure 11.3](#) can help managers sharpen their analytical focus, allocate resources in proportion to the degree of threat rivals present, and avoid nasty surprises.

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